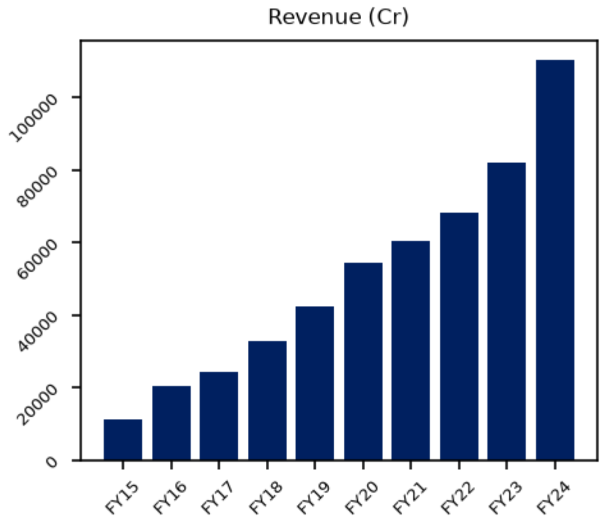
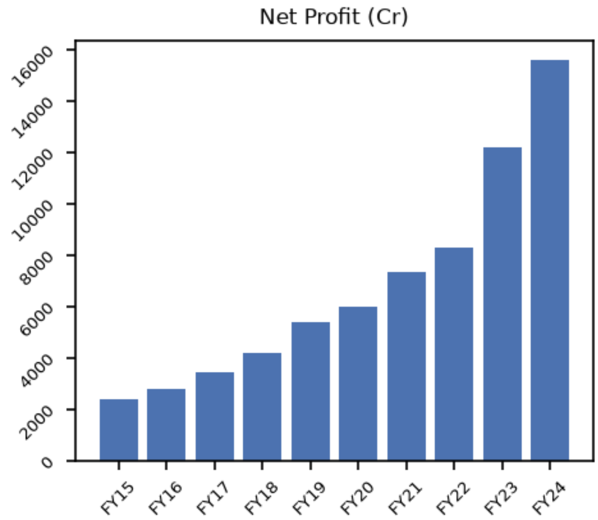
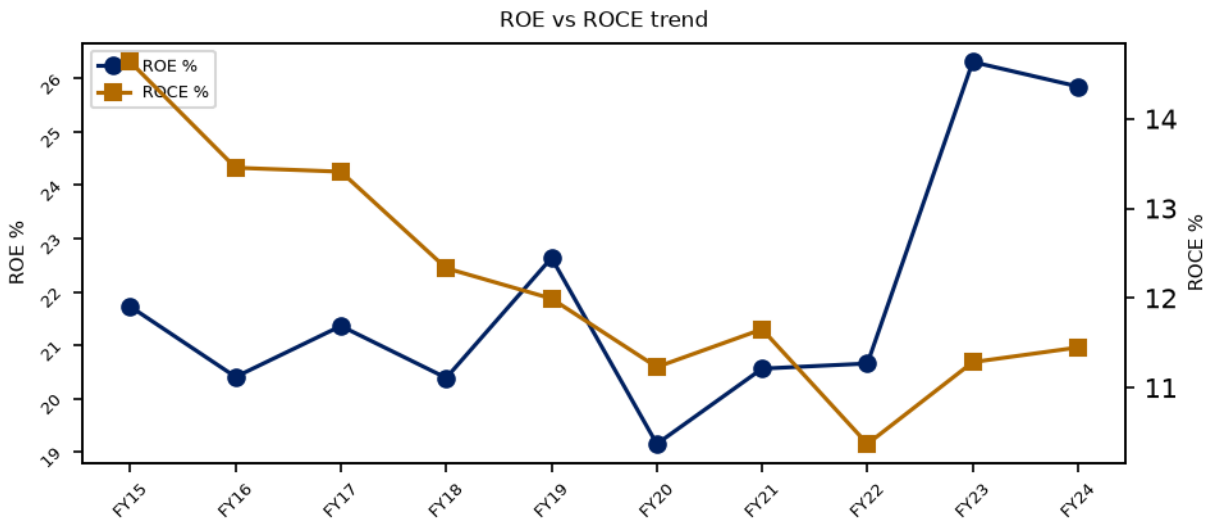
Bajaj Finserv Ltd (BAJAJFINSV) — Financials / Diversified Financials

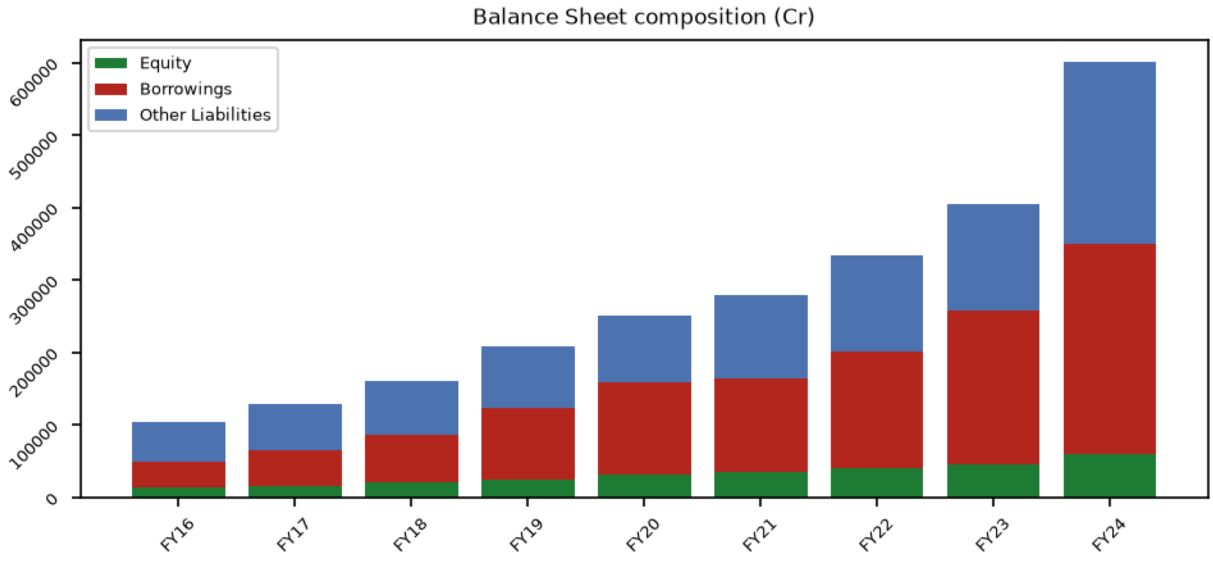
25.9 ROE %	**11.4** ROCE %	**14.1** Net Margin %
4.8x D/E	**21.0** Rev CAGR 5Y %	**15.1** P/E

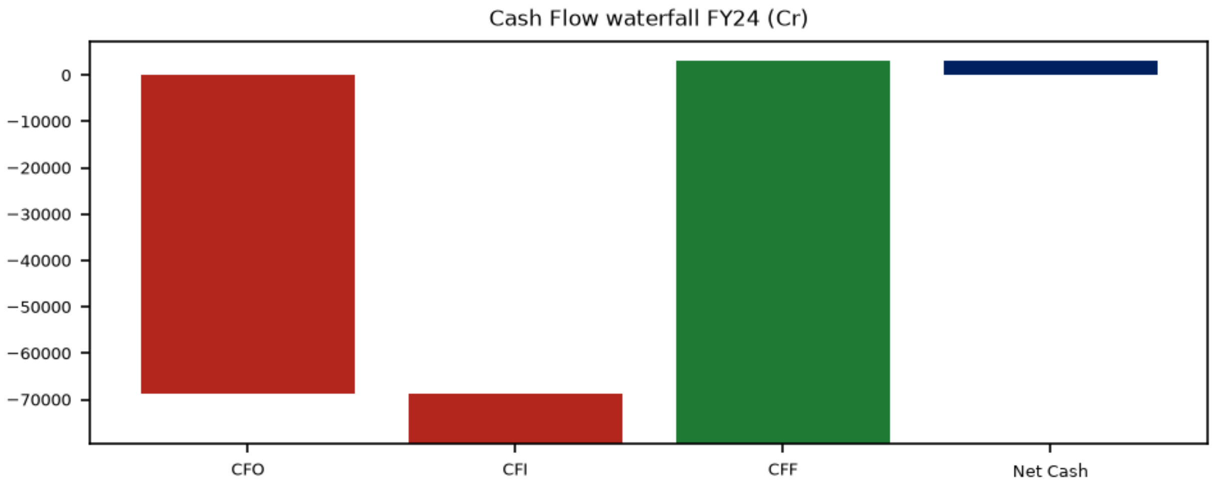






BAJAJFINSV — Balance Sheet & Cash Flow





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggests pricing or cost pressure

Capital Allocation: Distress - Financing the Burn